Illustration 7

Ananth is a trader dealing in textiles. For the following transactions, pass journal entries for the month of January, 2018.

Jan.		₹
1	Commenced business with cash	70,000
2	Purchased goods from X and Co. on credit	30,000
3	Cash deposited into bank	40,000
4	Bought a building from L and Co. on credit	95,000
5	Cash withdrawn from bank for office use	5,000
6	Cash withdrawn from bank for personal use of Ananthu	4,000
7	Towels given as charities	3,000
8	Shirts taken over by Ananth for personal use	12,000
9	Sarees distributed as free samples	3,000
10	Goods (table clothes) used for office use	200

Solution

In the books of Ananth
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018 Jan. 1	Cash A/c To Ananth's capital A/c (Commenced business with cash)	Dr.		70,000	 70,000
2	Purchases A/c To X and Co. A/c (Credit purchases made)	Dr.		30,000	 30,000
3	Bank A/c To Cash A/c (Cash deposited into bank)	Dr.		40,000	 40,000
4	Buildings A/c To L and Co. A/c (Building bought on credit)	Dr.		95,000	 95,000
5	Cash A/c To Bank A/c (Cash withdrawn from bank for office use)	Dr.		5,000	 5,000
6	Drawings A/c To Bank A/c (Cash withdrawn from bank for personal use)	Dr.		4,000	 4,000
7	Charities A/c To Purchases A/c (Goods given for charities)	Dr.		3,000	 3,000
8	Drawings A/c To Purchases A/c (Goods taken over for personal use)	Dr.		12,000	 12,000

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